

Week ending: 27th August 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day, 184-day** and the **364-day** T-bills were undersubscribed recording **44.16%**, **20.23%** and **49.64%** respectively. The CBK accepted KES **1.76B**, **2.02B** and **4.04Bn** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer, accepting a total of **7.82B.**

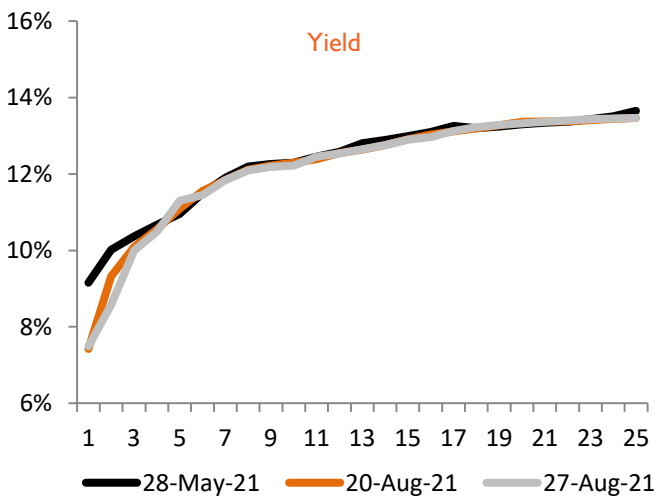
The Central Bank of Kenya opened a new infrastructure bond **IFB1/2021/21-(21yrs)** from **20/08/2021** to **07/09/2021,** in a bid to raise KES **75Bn**. The coupon rates for the bond is **market-determined**. The bond will be tax free as is the case for infrastructure bonds.

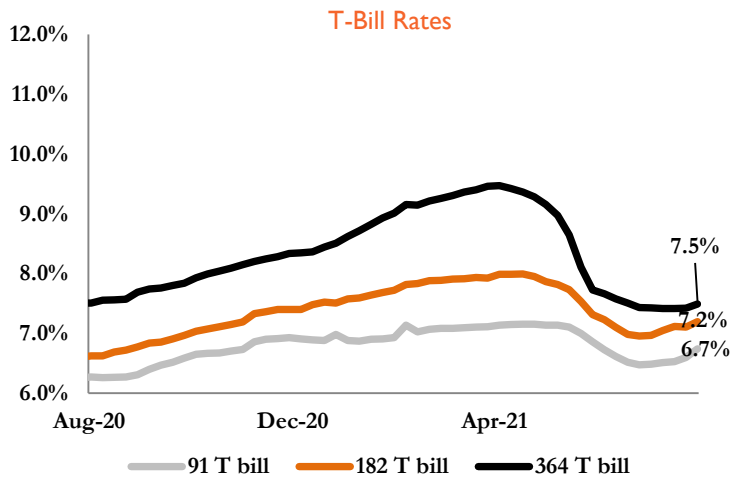
Key Indicators

	Current	Previous	% Change
91- Day	6.74%	6.60%	0.14%
182-Day	7.20%	7.10%	0.10%
364-Day	7.49%	7.42%	0.07%
Interbank Rate	3.59%	3.54%	1.41%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (July)	6.44%	6.32%
Private sector credit growth (June)	7.70%	7.10%
Money Supply (June)	6.30%	7.60%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the greenback this past week depreciating by **0.22**% to trade at **109.78**. The CBK's usable forex reserves currently stands at **USD 8,986 million** (**5.49** months of import cover) as at August 26th, a **1.15**% decrease from **USD 9,189 million** (**5.62** months of import cover) as at August 19th.

Inflation

Inflation in July, Headline inflation increased to **6.44**% from **6.32**% in June. The CPI increased by **0.20**% from **115.11** in June to **115.34** in July. Meanwhile, the food and alcoholic beverages index decreased by **0.46**% due to the decrease in prices of select food items. Headline inflation is likely to increase marginally on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

GDP growth

Growth receded to **-1.1**% in 3Q20 from **5.8**% in the corresponding period of 2019. Economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3**% growth compared to **5.0**% in 2019 and growth in construction by **16.2**% versus **6.6**% in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2**%, **4.7**% and **9.9**% growth respectively.

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